Total Customers

7032

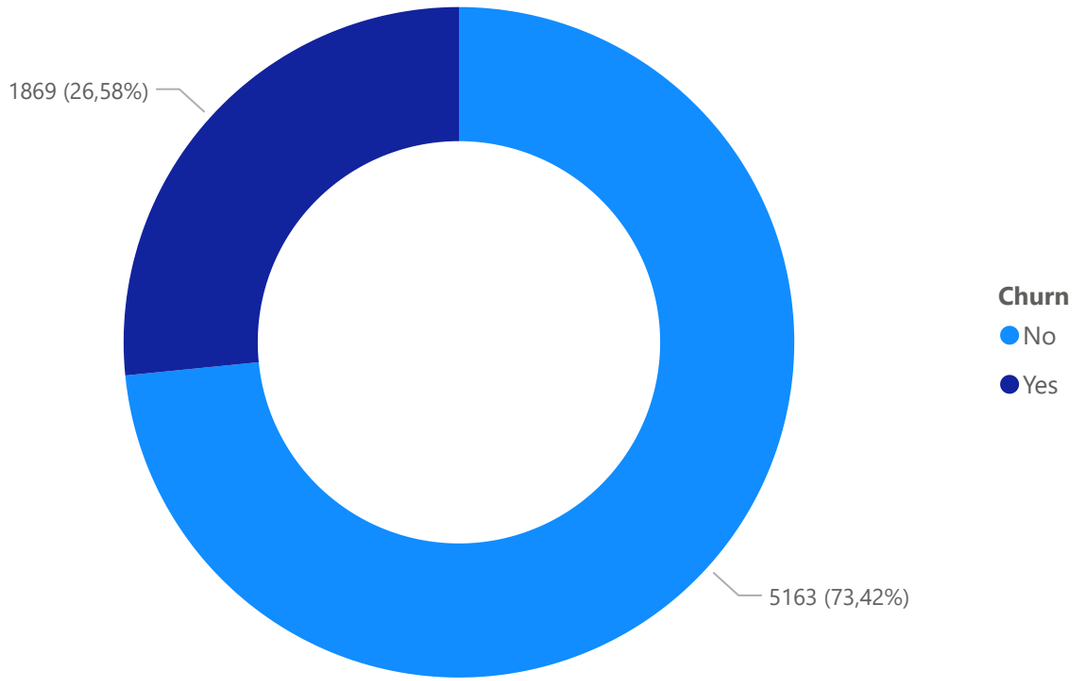
Churned Customers

1869

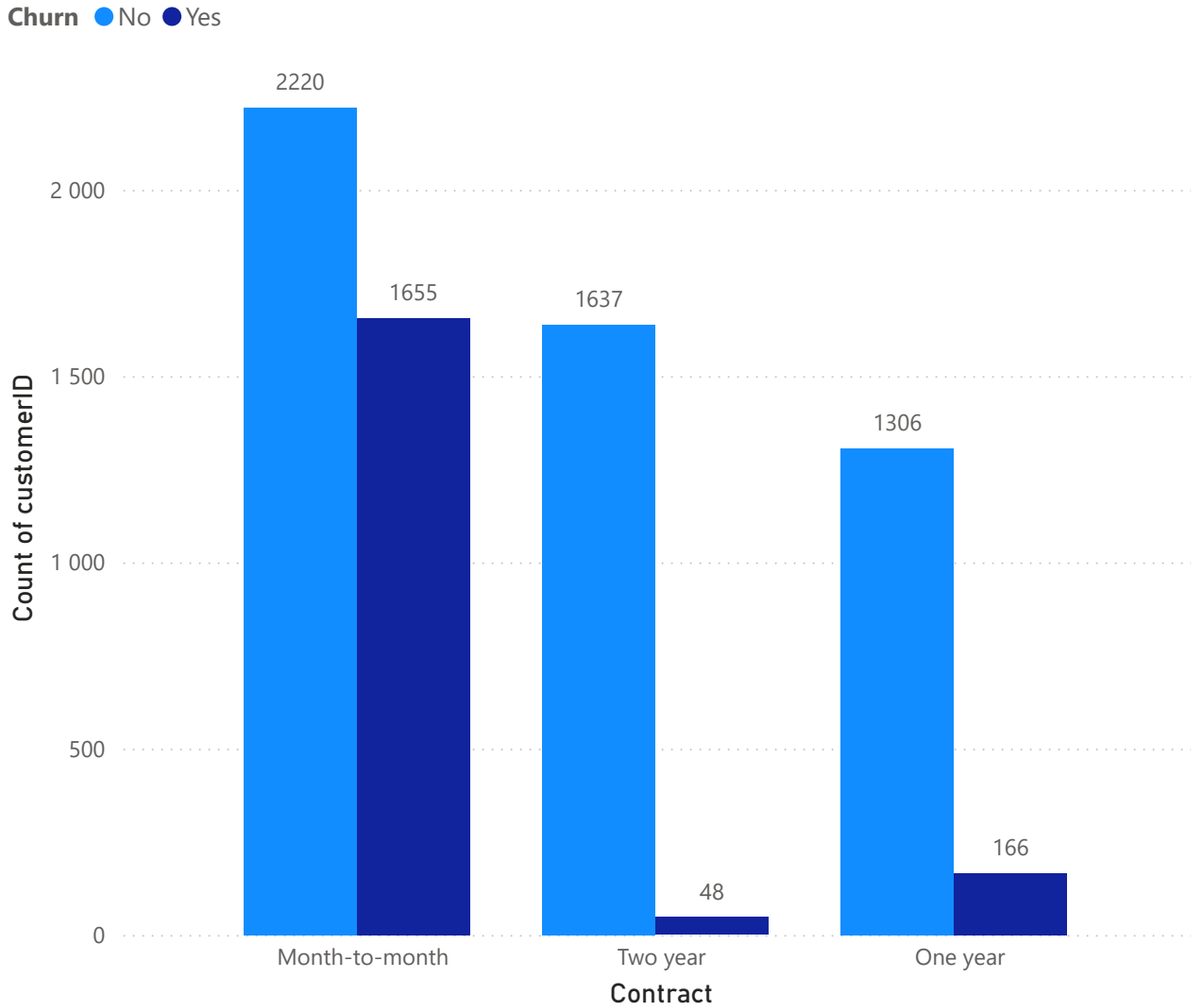
Churn Rate

26,58%

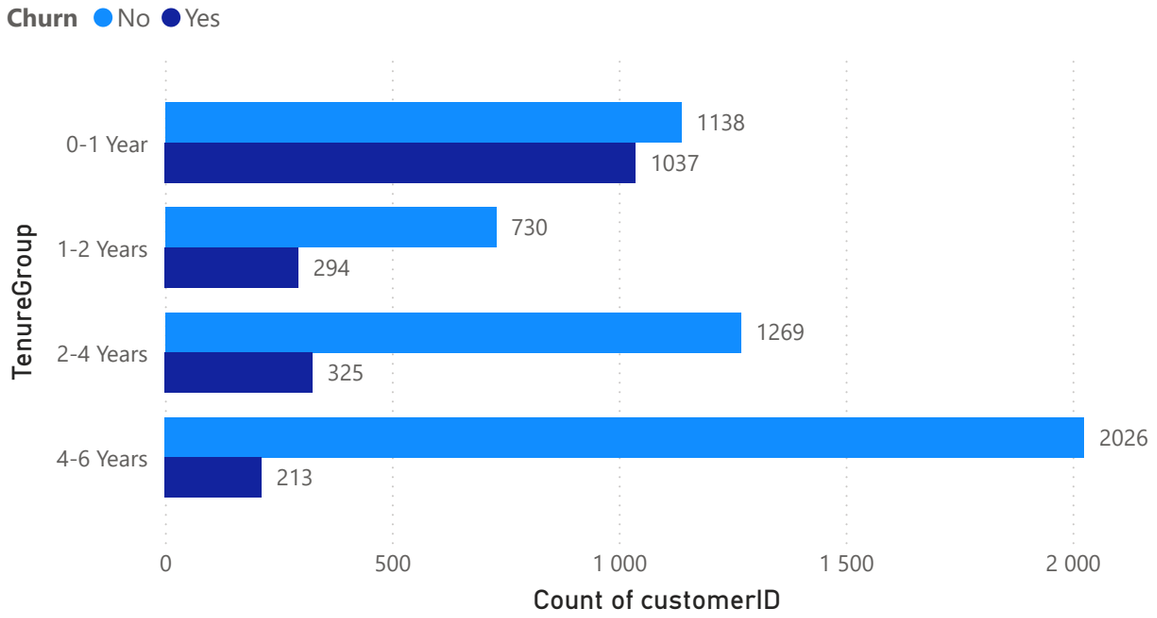
Overall Churn Distribution



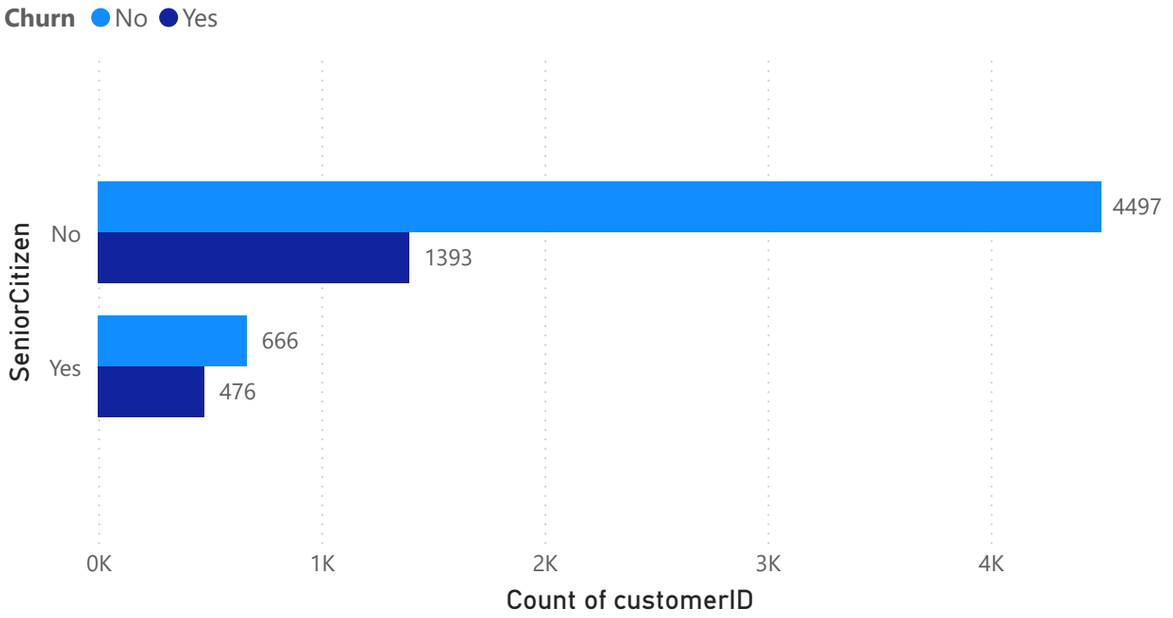
Customer Churn by Contract Type



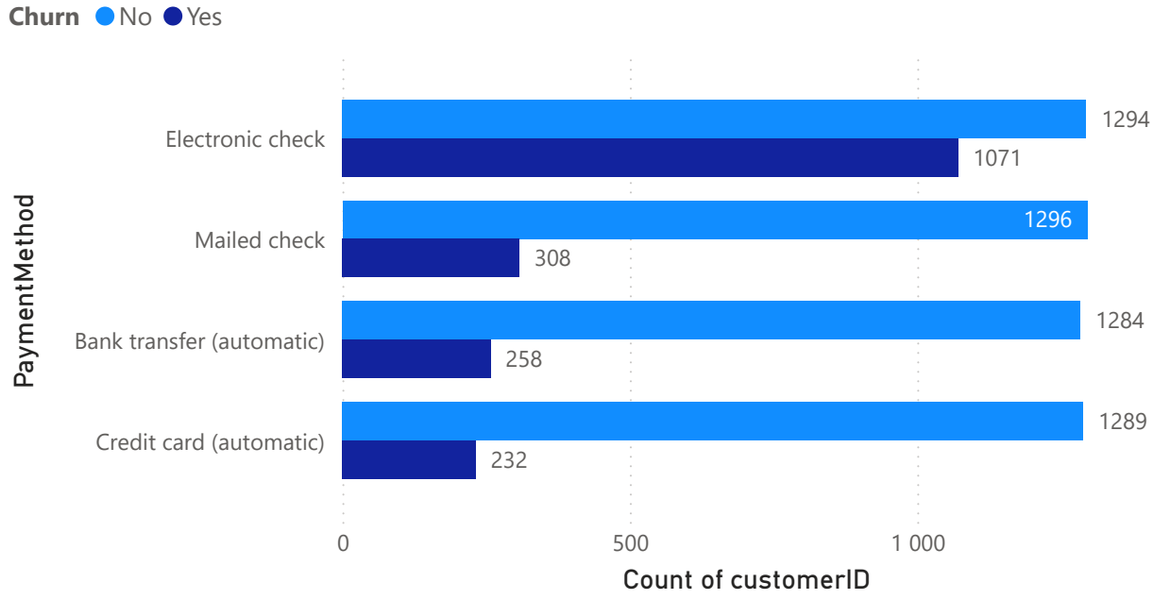
Customer Churn by Tenure Group



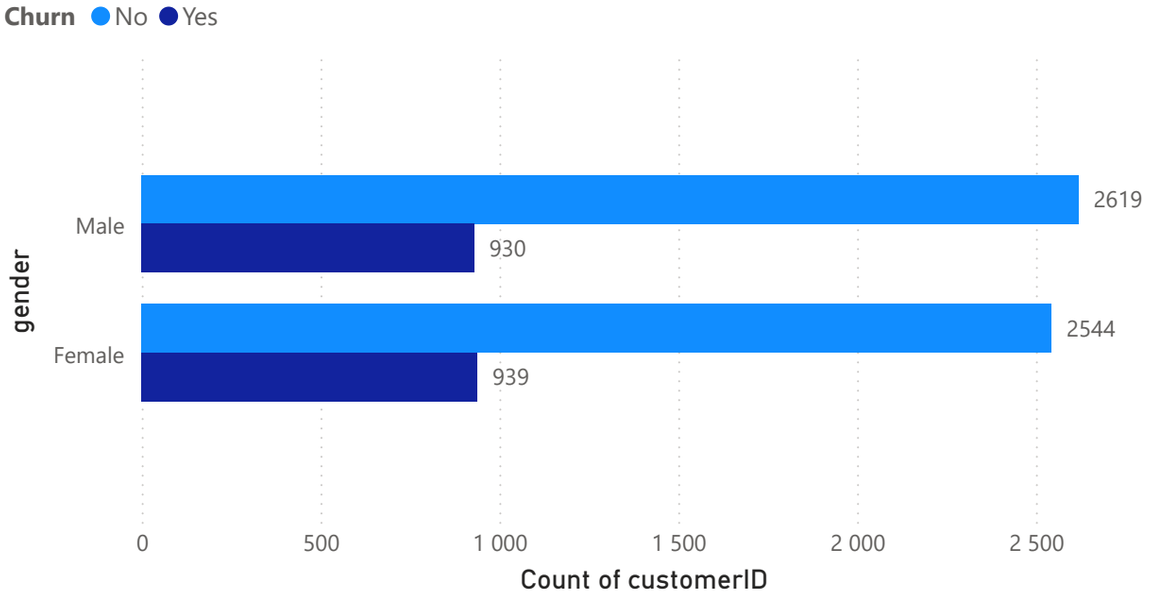
Churn by Senior Citizen Status



Churn by Payment Method



Churn by Gender



Customer Retention & Churn Analysis — Key Findings & Recommendations

Finding 1 — Contract Type Impact

Month-to-month customers churn at 42.71% compared to just 2.85% for two-year contract customers. Contract type is the strongest predictor of churn in this dataset.

Recommendation: Offer incentives such as discounts, locked-in pricing, or free upgrades to encourage customers to commit to longer contracts.

Finding 2 — Critical First Year

47.68% of customers leave within their first year. Churn drops significantly to 9.51% for customers who stay 4-6 years.

Recommendation: Invest heavily in onboarding, early engagement programmes, and first year support to retain new customers through the critical first 12 months.

Finding 3 — Pricing Drives Churn

Churned customers paid an average of $74.44 per month compared to $61.31 for retained customers a $13 difference.

Recommendation: Review pricing for high-tier plans and introduce value-added services to justify costs for customers on expensive plans.

Finding 4 — Senior Citizen Segment at Risk

Senior citizens churn at 41.68% compared to 23.65% for non-seniors nearly double the rate.

Recommendation: Create dedicated retention strategies for senior customers including simplified plans, dedicated support lines, and loyalty rewards.

Finding 5 — Payment Method as a Retention Signal

Electronic check users churn at 45.29% while automatic payment users churn at only 15-17%.

Recommendation: Incentivise customers to switch to automatic payments through small discounts or billing credits. Autopay customers are significantly more committed.

Finding 6 — Gender is Not a Churn Driver

Male customers churned at 930 and female customers at 939 an almost identical split. Gender shows no significant relationship with churn behaviour.

Recommendation: Avoid gender-based segmentation for retention strategies as it does not meaningfully predict churn. Focus resources on higher-impact variables such as contract type, tenure, and payment method instead.